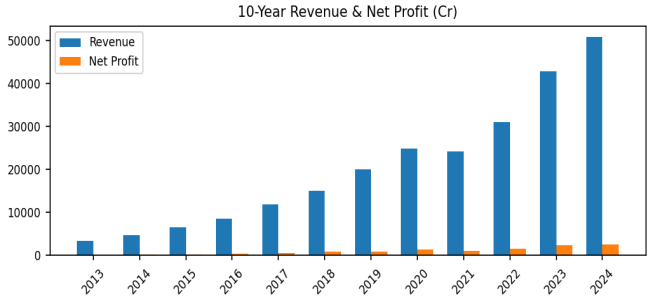
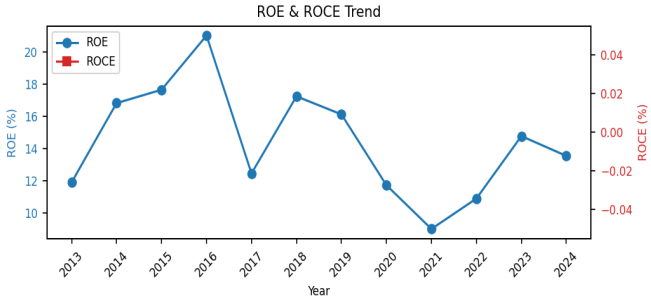
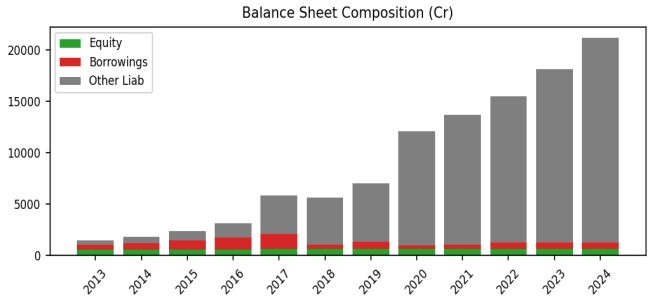
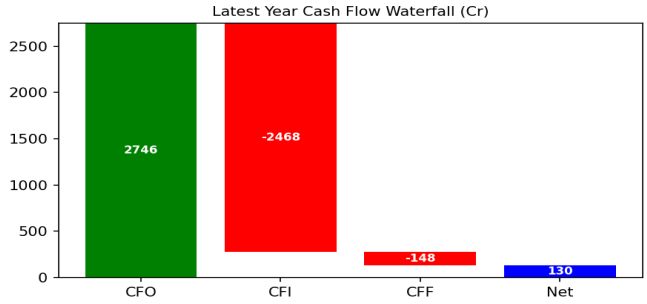
Avenue Supermarts Ltd (DMART)

Revenue	Net Profit	Total Equity
■5.1T	■2536Cr	■651Cr
ROE	**ROCE**	**D/E**
13.6%	-	0.03x









Pros	Cons
• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (Conf: 85%) • Net profit compounding at above 20% over 5 years creates significant shareholder value (Conf: 90%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (Conf: 85%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%) • Growing asset base funded by internal accruals reflects self-sustaining growth (Conf: 80%)	• Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%)

Capital Allocation Pattern: Shareholder Returns